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Key Metadata

Right to Employment Act, 2075 (2018)

Law Information

Nepali Title	रोजगारीको हक सम्बन्धी ऐन, २०७५
English Title	Right to Employment Act, 2075 (2018)
Act Number	Act No. 12 of 2075 (2018 AD)
Certification Date	2075.4.26 BS (August 11, 2018 AD)
Commencement Date	2075.4.26 BS
Total Sections	46
Total Chapters	9
Primary Regulator	Ministry of Labour, Employment and Social Security; Employment Service Centre
Scope	Guarantees right to employment, establishes unemployment allowance system, creates Employment Service Centres, mandates skill development programmes, and sets up monitoring and evaluation mechanisms

Summary

The Right to Employment Act, 2075 (2018) is a landmark social protection legislation that guarantees every able citizen of Nepal the fundamental right to employment and establishes an unemployment allowance system for those unable to secure work. Enacted on August 11, 2018, this progressive Act operationalizes the constitutional right to employment enshrined in Nepal's 2015 Constitution. The legislation comprises 46 sections organized into 9 chapters, covering the right to employment guarantee, unemployment allowance eligibility and disbursement procedures, establishment and operation of Employment Service Centres, skill development and training programmes, employment information systems, monitoring and evaluation frameworks, and offences and penalties for non-compliance. The Act mandates that citizens between 18 and 59 years of age who are willing to work but unable to find employment shall be entitled to an unemployment allowance as prescribed. It establishes Employment Service Centres at local levels to facilitate job matching, career counselling, and skill development. The Act also requires the government to maintain employment records, conduct skill gap analyses, and implement targeted employment programmes. This legislation

represents Nepal's commitment to addressing unemployment through a rights-based approach, combining social protection with active labour market interventions.

Preamble

Whereas it is expedient to make legal provisions relating to the right to employment in order to guarantee employment to every able citizen and provide unemployment allowance to citizens who are unable to obtain employment;

Now, therefore, be it enacted by the Federal Parliament.

Chapter 1: Preliminary

Section 1: Short Title and Commencement

(1) This Act may be cited as the "Right to Employment Act, 2075 (2018)".

(2) This Act shall come into force immediately.

Section 2: Definitions

In this Act, unless the subject or context otherwise requires:

- (a) "**Right to employment**" means the right of every able citizen to obtain employment as provided in this Act.
- (b) "**Unemployment allowance**" means the allowance to be provided to an unemployed citizen under this Act.
- (c) "**Citizen**" means a Nepali citizen who has attained the age of eighteen years and has not attained the age of fifty-nine years.
- (d) "**Unemployed citizen**" means a citizen who is willing to work but is unable to obtain employment.
- (e) "**Employment**" means work performed for remuneration or self-employment.
- (f) "**Employment Service Centre**" means the centre established under this Act for the provision of employment services.
- (g) "**Skill development**" means the development of skills through training, apprenticeship, or other means.

(h) "**Local level**" means the rural municipality or municipality.

(i) "**Prescribed**" or "**as prescribed**" means prescribed or as prescribed in the Rules made under this Act.

Section 3: Application of the Act

This Act shall apply to all citizens of Nepal who are willing to work and seek employment.

Chapter 2: Provisions Relating to Right to Employment

Section 4: Right to Employment

(1) Every able citizen shall have the right to employment as provided in this Act.

(2) The Government of Nepal shall make necessary arrangements for the implementation of the right to employment.

(3) The Government of Nepal shall, for the purpose of implementing the right to employment, formulate and implement employment programmes and projects.

Section 5: Employment Programmes

(1) The Government of Nepal shall formulate and implement the following types of employment programmes:

(a) Public works programmes for infrastructure development;

(b) Productive employment programmes;

(c) Self-employment programmes;

(d) Skill-based employment programmes;

(e) Seasonal employment programmes;

(f) Other employment programmes as prescribed.

(2) The employment programmes under Sub-section (1) shall be implemented through the local level or other agencies as prescribed.

Section 6: Priority in Employment

(1) The following categories of citizens shall be given priority in employment programmes:

- (a) Persons from economically disadvantaged families;
- (b) Unemployed youth;
- (c) Persons with disabilities;
- (d) Single women;
- (e) Persons from marginalized communities;
- (f) Other categories as prescribed.

Section 7: Wages in Employment Programmes

(1) The wages for work performed under employment programmes shall be as prescribed.

(2) The wages under Sub-section (1) shall not be less than the minimum wage fixed by the Government of Nepal.

(3) Wages shall be paid at regular intervals not exceeding fifteen days.

Section 8: Working Conditions in Employment Programmes

(1) The working hours in employment programmes shall not exceed eight hours per day.

(2) Provision shall be made for rest periods, drinking water, and first aid facilities at the workplace.

(3) Safety measures shall be ensured at the workplace.

Section 9: Guarantee of Employment

(1) The Government of Nepal shall guarantee a minimum of one hundred days of employment in a financial year to every citizen who seeks employment.

(2) Where the Government of Nepal is unable to provide employment under Sub-section (1), an unemployment allowance shall be provided as prescribed.

Chapter 3: Provisions Relating to Unemployment Allowance

Section 10: Entitlement to Unemployment Allowance

- (1) A citizen who has registered for employment but has not been provided employment within the prescribed time limit shall be entitled to unemployment allowance.
- (2) The unemployment allowance under Sub-section (1) shall be provided from the date the citizen becomes entitled to employment.

Section 11: Amount of Unemployment Allowance

- (1) The amount of unemployment allowance shall be as prescribed.
- (2) The unemployment allowance shall be provided for the period during which the citizen remains unemployed, up to a maximum period as prescribed.

Section 12: Procedure for Obtaining Unemployment Allowance

- (1) A citizen who desires to obtain unemployment allowance shall submit an application to the Employment Service Centre in the prescribed format.
- (2) The application under Sub-section (1) shall be accompanied by the following documents:
 - (a) Citizenship certificate;
 - (b) Proof of registration for employment;
 - (c) Other documents as prescribed.

Section 13: Decision on Application

- (1) The Employment Service Centre shall, upon receipt of an application under Section 12, make necessary inquiry and decide on the application within the prescribed time limit.
- (2) Where the application is approved, the Employment Service Centre shall inform the applicant and arrange for payment of the unemployment allowance.

Section 14: Payment of Unemployment Allowance

- (1) The unemployment allowance shall be paid at regular intervals as prescribed.
- (2) The unemployment allowance shall be paid through the banking channel as far as possible.

Section 15: Suspension and Cancellation of Unemployment Allowance

- (1) The unemployment allowance shall be suspended in the following circumstances:
 - (a) Where the citizen refuses employment offered without reasonable cause;
 - (b) Where the citizen fails to report to the Employment Service Centre as required;
 - (c) Where the citizen has provided false information;
 - (d) Other circumstances as prescribed.
- (2) The unemployment allowance shall be cancelled where the citizen obtains employment.

Section 16: Fund for Unemployment Allowance

- (1) The Government of Nepal shall establish a fund for the payment of unemployment allowance.
- (2) The sources of the fund shall be as follows:
 - (a) Amount allocated by the Government of Nepal;
 - (b) Amount received from domestic and international sources;
 - (c) Other amounts as prescribed.

Chapter 4: Provisions Relating to Employment Service Centre

Section 17: Establishment of Employment Service Centre

- (1) An Employment Service Centre shall be established at each local level.
- (2) The Employment Service Centre shall function under the local level.

Section 18: Functions of Employment Service Centre

The Employment Service Centre shall perform the following functions:

- (a) To maintain records of citizens seeking employment;
- (b) To provide information about employment opportunities;
- (c) To facilitate matching of job seekers with employers;
- (d) To provide career counselling services;
- (e) To organise skill development programmes;
- (f) To process applications for unemployment allowance;
- (g) To monitor and evaluate employment programmes;
- (h) To perform such other functions as prescribed.

Section 19: Registration of Job Seekers

- (1) A citizen who desires to obtain employment shall register with the Employment Service Centre.
- (2) The Employment Service Centre shall, upon registration under Sub-section (1), provide a registration certificate to the citizen.
- (3) The procedures for registration shall be as prescribed.

Section 20: Employment Information Board

- (1) The Employment Service Centre shall maintain an employment information board displaying available employment opportunities.
- (2) The employment information shall be updated regularly.

Chapter 5: Provisions Relating to Skill Development and Employment

Section 21: Skill Development Programmes

- (1) The Government of Nepal shall formulate and implement skill development programmes for citizens seeking employment.
- (2) The skill development programmes shall include:
 - (a) Vocational training;
 - (b) Technical training;
 - (c) Entrepreneurship development training;
 - (d) On-the-job training;
 - (e) Apprenticeship programmes;
 - (f) Other training programmes as prescribed.

Section 22: Skill Development Centre

- (1) The Government of Nepal shall establish or cause to be established skill development centres as necessary.
- (2) The skill development centres shall provide training in skills required in the labour market.

Section 23: Coordination with Private Sector

- (1) The Government of Nepal shall coordinate with the private sector for the provision of employment and skill development opportunities.
- (2) The private sector shall be encouraged to participate in employment and skill development programmes.

Section 24: Self-Employment Programmes

- (1) The Government of Nepal shall formulate and implement self-employment programmes for citizens desiring self-employment.
- (2) The self-employment programmes shall include:
 - (a) Provision of loans on concessional terms;
 - (b) Entrepreneurship training;

- (c) Technical and managerial assistance;
- (d) Market linkage support;
- (e) Other support as prescribed.

Chapter 6: Provisions Relating to Employment Information and Records

Section 25: Employment Information System

- (1) The Government of Nepal shall establish and operate an employment information system.
- (2) The employment information system shall contain the following information:
 - (a) Number of citizens seeking employment;
 - (b) Number of citizens provided employment;
 - (c) Employment opportunities available;
 - (d) Skill gaps in the labour market;
 - (e) Other information as prescribed.

Section 26: Maintenance of Records

- (1) The Employment Service Centre shall maintain records of citizens registered for employment.
- (2) The records under Sub-section (1) shall include:
 - (a) Personal details of the citizen;
 - (b) Educational qualifications;
 - (c) Skills and experience;
 - (d) Employment history;
 - (e) Other particulars as prescribed.

Section 27: Publication of Information

The Government of Nepal shall publish employment-related information periodically.

Chapter 7: Provisions Relating to Monitoring and Evaluation

Section 28: Monitoring Committee

(1) A monitoring committee shall be formed at the local level for the monitoring of employment programmes.

(2) The composition of the monitoring committee shall be as prescribed.

Section 29: Functions of Monitoring Committee

The monitoring committee shall perform the following functions:

- (a) To monitor the implementation of employment programmes;
- (b) To evaluate the effectiveness of employment programmes;
- (c) To recommend improvements;
- (d) To submit reports to the local level;
- (e) To perform such other functions as prescribed.

Section 30: Evaluation

(1) The Government of Nepal shall conduct periodic evaluation of employment programmes.

(2) The evaluation shall assess the impact of employment programmes on poverty reduction and livelihood improvement.

Section 31: Grievance Redressal

(1) A citizen who has a grievance relating to employment programmes may file a complaint with the Employment Service Centre.

(2) The Employment Service Centre shall redress the grievance within the prescribed time limit.

Chapter 8: Provisions Relating to Offences and Penalties

Section 32: Offence of Misuse of Funds

A person who misuses funds allocated for employment programmes shall be punished with imprisonment for a term not exceeding three years or a fine not exceeding three hundred thousand rupees, or both.

Section 33: Offence of Providing False Information

A person who provides false information to obtain unemployment allowance or employment shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding one hundred thousand rupees, or both.

Section 34: Offence of Obstruction

A person who obstructs the functioning of the Employment Service Centre or employment programmes shall be punished with imprisonment for a term not exceeding three months or a fine not exceeding fifty thousand rupees, or both.

Section 35: Offence of Discrimination

A person who discriminates against a citizen in the allocation of employment on the ground of caste, ethnicity, gender, religion, or disability shall be punished with imprisonment for a term not exceeding six months or a fine not exceeding one hundred thousand rupees, or both.

Section 36: Offence of Non-Payment of Wages

A person who fails to pay wages to a citizen for work performed under employment programmes shall be punished with a fine not exceeding one hundred thousand rupees.

Section 37: Offence of Falsification of Records

A person who falsifies records relating to employment programmes shall be punished with imprisonment for a term not exceeding one year or a fine not exceeding two hundred thousand rupees, or both.

Section 38: Offence by Public Servant

A public servant who commits an offence under this Act shall be liable to the punishment prescribed for the offence and shall also be subject to departmental action.

Chapter 9: Miscellaneous

Section 39: Coordination with Other Laws

This Act shall be coordinated with other prevailing laws relating to labour and employment.

Section 40: Delegation of Powers

(1) The Government of Nepal may delegate any of the powers conferred on it under this Act to any authority or officer.

(2) The authority or officer to whom powers are delegated shall exercise such powers subject to the conditions as prescribed.

Section 41: Power to Give Directions

The Government of Nepal may give necessary directions to any authority or officer for the implementation of this Act.

Section 42: Protection of Action Taken in Good Faith

No action shall be taken against any person for any action taken in good faith under this Act.

Section 43: Prevailing Law to Apply

Matters provided for in this Act shall be governed by this Act, and other matters shall be governed by the prevailing law.

Section 44: Removal of Difficulty

If any difficulty arises in connection with the implementation of this Act, the Government of Nepal may, by notification in the Nepal Gazette, issue necessary orders to remove such difficulty.

Section 45: Power to Make Rules

The Government of Nepal may make necessary rules for the implementation of this Act.

Section 46: Power to Make By-Laws

- (1) The local level may make by-laws, subject to the provisions of this Act and the rules made thereunder, for the implementation of this Act.
- (2) The by-laws made under Sub-section (1) shall come into force after being approved by the concerned provincial government.

Key Metadata

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Scope	Guarantees right to employment, establishes unemployment allowance system, creates Employment Service Centres, mandates skill development programmes, and sets up monitoring and evaluation mechanisms
Key Features	100-day employment guarantee, unemployment allowance for eligible citizens, local-level Employment Service Centres, skill development programmes, self-employment support

Related Legislation	Labour Act 2074, Contribution-Based Social Security Act 2074, Constitution of Nepal 2015 (Article 33 - Right to Employment)
Current Status	In force; operational across local levels